

PCU333076 SIERRA VIEW LOCAL HEALTH CARE DISTRICT vs. BLUE CROSS OF CALIFORNIA D/B/A ANTHEM BLUE CROSS, a California corporation et al

County: tulare

Division: Civil Law and Motion

Department: 19

Hearing date: 2026-09-22

Motion: (1) Sierra View's Motion to Seal (2) Anthem's Motion to Compel Arbitration

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Re: SIERRA VIEW LOCAL HEALTH CARE DISTRICT vs. BLUE CROSS OF CALIFORNIA D/B/A ANTHEM BLUE CROSS, a California corporation et al

Case No.: PCU333076

Date: September 22, 2026

Time: 8:30 A.M.

Dept. 19-The Honorable Russell P. Burke

Motion: (1) Sierra View's Motion to Seal (2) Anthem's Motion to Compel Arbitration

Tentative Ruling: (1) To grant the motion; (2) To deny the motion

(1) Sierra View's Motion to Seal

Facts

Plaintiff seeks an order permitting it to file under seal (1) portions of its Opposition to Defendant Blue Cross of California d/b/a Anthem Blue Cross's ("Anthem") Motion to Compel Arbitration and Stay Trial Court Proceedings; (2) the Hospital Services Agreement (the "Anthem Contract") between Sierra View and Anthem, in its entirety, which is attached to Exhibit A to the Declaration of Lizette Razon in Support of Plaintiff's Opposition ("Razon Decl."); and (3) the Letter of Acknowledgement (the "LOA") between Sierra View and Defendant Imperial Health Plan of California ("Imperial")

Plaintiff indicates that the parties to the Anthem Contract and LOA expressly designate the documents as confidential and that disclosure of the three documents would cause significant competitive harm to the parties by revealing sensitive pricing terms and coverage requirements to competitors, payors, and the public at large.

Plaintiff indicates that Defendants do not oppose this motion to seal.

Authority and Analysis

California law authorizes the sealing of court records containing confidential information. (*NBC Subsidiary, Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1222, n. 46.) Orders to seal records in a civil proceeding implicate the First Amendment's right of public access. (*Id.* at 1212.) "Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court, rule 2.550(c); *In re Marriage of Tamir* (2021) 72 Cal.App.5th 1068, 1079.)

"A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." (Cal. Rules Court, Rule 2.551. (b)(1).)

" 'In delineating the injury to be prevented, specificity is essential. [Citation.] Broad allegations of harm, bereft of specific examples or articulated reasoning, are insufficient.' (*Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1282.) The factual findings requires to seal records require the court to expressly find that (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court, rule 2.550(d)(1)-(5).)

Here, the Court finds a sufficient overriding interest as to the parties' pricing terms and coverage requirements as to sealing the record to prevent a competitor from obtaining an advantage over the parties and that this interest would be prejudiced absent sealing of the records. Further, the proposed sealing is narrowly tailored to these three documents and no less restrictive means would accomplish the interest.

Therefore, the Court grants the motion.

(2) Anthem's Motion to Compel Arbitration

Background Facts

In this matter, Plaintiff sues Defendants Blue Cross of California dba Anthem Blue Cross and Imperial Health Plan of California for breach of contract, declaratory relief and injunctive relief.

Defendant Anthem seeks to compel arbitration of these claims and stay this matter pending arbitration.

The Court notes here that Defendant's reply raised the issue that this filing was a petition to compel arbitration as opposed to a motion to compel arbitration, affecting Plaintiff's response period. The Court takes the position that while petition to compel arbitration and motion to compel arbitration are substantively the same, a petition is typically filed when no action had yet been commenced. (See Code of Civil Procedure § 1290 ["A proceeding under this title in the courts of this State is commenced by filing a petition..."]) Here, the action had already been commenced via the filing of Plaintiff's complaint, and the Court, therefore treats this as a motion to compel arbitration. In any event, the Court has provided additional time and permitted additional briefing to address any prejudice based on the timing of the filing of Plaintiff's opposition.

Facts – Agreement to Arbitrate

In support, Defendant Anthem provides the declaration of the Legal Specialist of its ultimate parent company who indicates that on April 1, 2006, Plaintiff executed a Hospital Services Agreement (the "Anthem Contract") with Defendant Anthem. (Declaration of King ¶¶2, 3, 4 – Ex. A.)

Defendant Anthem indicates the Anthem Contract contains a section entitled "Dispute Resolution." (Declaration of King ¶5 – Ex. A.)

Plaintiff does not dispute the existence of this agreement, that it contains the dispute resolution term or that it is otherwise enforceable.

Authority and Analysis - Agreement to Arbitrate

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement." (Code Civ. Proc. § 1281.2(a), (b).) (emphasis added.)

Absent a challenge by the nonmoving party, this burden is met by simply providing a copy of the arbitration agreement. (Baker v. Italian Maple Holdings, LLC, 13 Cal. App. 5th 1152, 1160 (2017); Cal. Rules of Court, rule 3.1330.) "For purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of document authentication." (Condee v. Longwood Management Corp. (2001), 88 Cal.App.4th 215, 218; Sprunk v. Prisma LLC (2017) 14 Cal.App.5th 785, 793.)

Here, this burden is met through attachment of Exhibit A containing the Dispute Resolution term.

There is not dispute as to the formation of the agreement.

Facts – Scope of the Agreement

The Anthem Contract contains the following, entitled "Dispute Resolution":

"Any problem or dispute arising under this Agreement and/or concerning the terms of this Agreement that is not satisfactorily resolved under Section 13.01 shall be arbitrated. The arbitration shall be initiated by either party making a written demand for arbitration on the other party. Arbitration shall be conducted by the American Arbitration Association (AAA) under the Commercial Rules of the AAA. The arbitration shall also be subject to California Code of Civil Procedure, Title Nine, Section 1280, et seq., unless otherwise mutually agreed. The parties agree that the decision of the arbitrator shall be final and binding as to each of them, except to the extent that California and Federal law provide for the review of arbitration proceedings. BLUE CROSS waives any right to pursue, on a class basis, any such problem or dispute against HOSPITAL, and HOSPITAL waives any right to pursue, on a class basis, any such problem or dispute against BLUE CROSS. Issues as to whether malpractice was committed by a physician shall not be subject to arbitration by the AAA unless' otherwise agreed in writing by the parties and the AAA."

Authority and Analysis – Scope of Agreement

Here, the Anthem Contract's Dispute Resolution term broadly covers claims which include the claims at issue here. Plaintiff sues for breach of contract, which is necessarily a problem or dispute arising under the Agreement and/or concerning its terms. The declaratory and injunctive relief claims likewise derive from alleged duties under the Agreement.

Therefore, the Court finds the Dispute Resolution term encompasses the claims in this matter.

Facts - Code of Civil Procedure section 1281.2(c)

The Parties do, however, dispute the application of Code of Civil Procedure section 1281.2(c) with respect to Plaintiff's breach of contract claim against Defendant Imperial.

Plaintiff's complaint alleges, as against Defendant Anthem, breach of the 2006 Anthem Contract "...to which Sierra View agreed to provide health care services to members of Anthem's Medicare Advantage plan ("Anthem MA Members") in exchange for a discounted payment pursuant to an agreed-upon rate." (Complaint ¶9.) Further, that the Anthem Contract "...requires Anthem to pay Sierra View for services provided to Anthem's MA Members within thirty (30) working days from receipt of claims submitted by Sierra View, unless Anthem contests the claim, in which case it was required to provide Sierra View with notice of the contest within thirty (30) working days from receipt of the claim." (Complaint ¶10.)

As against Defendant Imperial, Plaintiff alleges "On December 1, 2019, Sierra View entered into a Letter of Acknowledgement ("LOA") with Imperial pursuant to which Sierra View agrees to provide health care services to members of Imperial's Medicare Advantage plan ("Imperial MA Members") in exchange for discounted payment pursuant to an agreed-upon rate. The LOA does not contain an arbitration provision." (Complaint ¶12.) Further, that the LOA required Imperial to process all clean claims submitted by Sierra View within 45 calendar days of submission. (Complaint ¶13.)

Plaintiff alleges further that Anthem delegated financial responsibility for hospital services received by certain Anthem MA Members to Imperial ("Delegated Members"). (Complaint ¶15.)

Plaintiff alleges breaches of both the Anthem Contract and LOA, whereby, "...despite providing services for which [Plaintiff] is entitled to reimbursement under both the Contract and the LOA, and submitting timely and clean claims for such services to Imperial, both Imperial and Anthem refuse to process the claims and/or pay Sierra View for its services." (Complaint ¶17.)

Further, Plaintiff alleges:

"Anthem also delegated utilization management review for certain services to Imperial. Under this arrangement, Imperial would review requests for authorization from Sierra View and, if approved, provide Sierra View with an authorization number that it could use to then bill Anthem for the claim. On information and belief, these claims were the financial responsibility of Anthem; however, Anthem would deny the claim for lack of authorization unless the claim included an authorization number issued by Imperial." (Complaint ¶27.)

Plaintiff alleges additionally that:

"Imperial refused to review and process requests for authorization from Sierra View for services for which Anthem was financially responsible but for which Imperial had been delegation responsibility for utilization management. These requests sought authorization for services that included, but were not limited to, inpatient services for stabilized patients who received emergency care and services in Sierra View's emergency department and other urgently needed services. In each instance, even though Imperial ignored its obligation to review and process the request for authorization, Sierra View provided care to avoid harm to the patient and to meet its own legal obligations. In certain instances, when Sierra View submitted the claim for payment, Anthem denied the claim for lack of authorization." (Complaint ¶28.)

As such, Plaintiff alleges breach of the LOA as against Defendant Imperial, alleging "Imperial is refusing to pay Sierra View because of a dispute between itself and Anthem regarding the division of financial responsibility between those entities."

(Complaint ¶138.)

As to Defendant Anthem, Plaintiff alleges breach via failure to timely pay claims submitted by Plaintiff and that "Anthem attempted to, but ultimately failed to, properly delegate financial responsibility for some, or all, of the Delegated Members to Imperial. Thus, these Delegated Members remained the financial responsibility of Anthem." (Complaint ¶¶41, 42.)

Authority and Analysis - Code of Civil Procedure section 1281.2(c)

Code of Civil Procedure section 1281.2(c) states:

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

...

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295."

" 'Section 1281.2(c) addresses the peculiar situation that arises when a controversy also affects claims by or against other parties not bound by the arbitration agreement. The California provision giving the court discretion not to enforce the arbitration agreement under such circumstances ... avoid[s] potential inconsistency in outcome as well as duplication of effort' " (Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 393.) Therefore, subsection (c) allows the court to refuse to enforce an arbitration agreement where a party to the arbitration is also a party to a pending court action with a third party arising out of the same transaction and there is a possibility of conflicting rulings.

Under Maxwell v. Atria Management Co., LLC (2024) 105 Cal.App.5th 230, 247 "[a]s used in the statute, a 'third party' is one who is neither bound by nor entitled to enforce the arbitration agreement."

As such, the issue is whether Defendant Imperial, a non-signatory to the Anthem Contract containing the arbitration term, is a third party to the Anthem Contract.

Generally, "one must be a party to an arbitration agreement to be bound by it or invoke it." (Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc. (2005) 129 Cal.App.4th 759, 763.) However, there are exceptions to this general rule that a nonsignatory to an agreement cannot be compelled to arbitrate or cannot invoke an agreement to arbitrate, without being a party to the arbitration agreement. (Id. at 765.) "[T]here are six theories by which a nonsignatory may be bound to arbitrate: (a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary." (Young Seok Suh v. Superior Court (2010) 181 Cal.App.4th 1504, 1513.)

Defendant Anthem argues that Defendant Imperial would, under equitable estoppel, have standing to enforce the Dispute Resolution term in the Anthem Contract, is therefore not a third party to the Anthem Contract and therefore no application of subdivision (c) is applicable.

The doctrine of equitable estoppel allows for a non-signatory party to compel arbitration “when the causes of action against the nonsignatory are ‘intimately founded in and intertwined’ with the underlying contract obligations.” (JSM Tuscany, LLC v. Superior Court (2011) 193 Cal.App.4th 1222, 1237)

In support, Defendant Anthem cites to *Boucher v. All. Title Co.* (2005) 127 Cal. App. 4th 262, *Rowe v. Exline* (2007) 153 Cal. App. 4th 1276, and *Laswell v. AG Seal Beach, LLC* (2010) 189 Cal. App. 4th 1399.

The opposition argues that *Boucher* and *Laswell* did not involve the existence of the second and third agreements (the LOA and the delegation agreement) which supported claims, at least as to the LOA, independent from the Anthem Contract.

Additionally, the opposition argues *Rowe* involved agency and alter ego of non-signatory individuals, issues not alleged or present in this matter, where the alleged alter egos of a signatory corporation attempted to avoid arbitration where the claims involved breach of contract.

Here, the Court agrees that Plaintiff’s breach of contract claims against Defendants Anthem and Imperial arise from two separate contracts, the Anthem Contract containing the arbitration clause and the LOA between Plaintiff and Imperial. Additionally, Plaintiff’s theory appears to be that Anthem has improperly delegated its payment responsibility to Imperial under a third, and separate, agreement involving delegation.

“The question is not whether the actions are related, but whether the action against a nonsignatory to the arbitration agreement is rooted in the contract containing the arbitration agreement. To be sure, there are common questions of law and fact in both actions, including, perhaps, interpretation of the policy agreements. But commonality of issues is a far cry from claims grounded in, and ‘inextricably intertwined with,’ the arbitration agreement.” (*DMS Services, LLC v. Superior Court* (2012) 205 Cal.App.4th 1346, 1357.)

While it is true that Plaintiff’s claims against Imperial are related to the Anthem Contract, the Court does not find Plaintiff’s claims are wholly dependent or inextricably intertwined with the Anthem Contract. In other words, the Court does not find that Plaintiff’s claims against Imperial are rooted in the Anthem Contract, as opposed to the LOA. “This requirement comports with, and indeed derives from, the very purposes of the doctrine: to prevent a party from using the terms or obligations of an agreement as the basis for his claims against a nonsignatory, while at the same time refusing to arbitrate with the nonsignatory under another clause of that same agreement.” [citation omitted]” (*Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 715.) Here, Plaintiff does not appear to be using the terms of the Anthem Contract as a basis for its claims against Imperial.

As such, the Court finds the conditions of section 1281.2(c) have been met. Plaintiff is a party to the Anthem Contract. Imperial is a third party sued by Plaintiff arising out of a series of related transactions. There is a possibility of inconsistent rulings.

Code of Civil Procedure section 1281.2(d)

Code of Civil Procedure section 1281.2(d) provides four options when it determines that a party to an arbitration agreement is also a party to litigation in a pending court action or special proceeding with a third party under section 1281.2(c):

“The court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.”

"What the trial court chooses to do in this situation is a matter of its discretion, guided largely by the extent to which the possibility of inconsistent rulings may be avoided." (Metis Development LLC v. Bohacek (2011) 200 Cal.App.4th 679, 692-693.)

Here, there is a possibility of conflicting rulings should Plaintiff's claims against Anthem proceed in arbitration either at the same time as Plaintiff's claims against Imperial or before Plaintiff's claims against Imperial can be adjudicated if stayed. The Court finds that Plaintiff's claims should be adjudicated together, including liability determinations as against Imperial and Anthem, if any, under the alleged delegation agreement between Imperial and Anthem. As such, the Court exercises its discretion to refuse to enforce the agreement to arbitrate between Plaintiff and Anthem. Therefore, the Court denies the motion to compel arbitration.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.